

INTERNATIONAL RELATIONS

INDIA – EU – 04

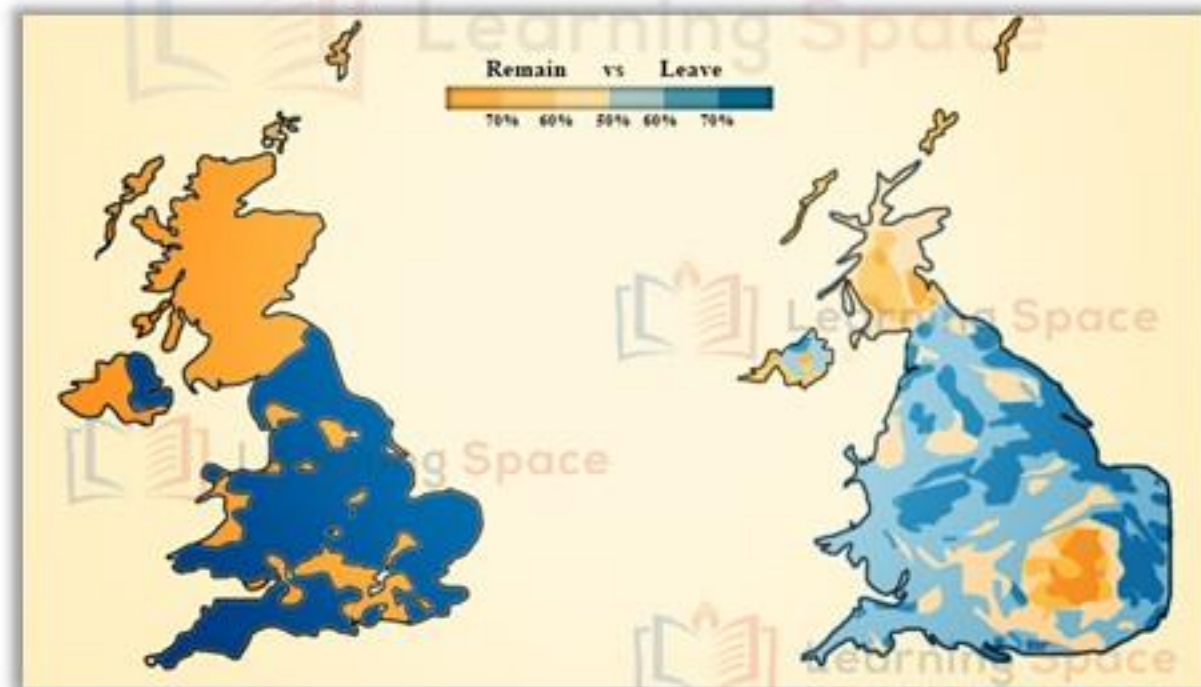
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BREXIT

1 Brexit is the abbreviated word and stands for “British Exit” from the European Union(EU). Brexit mirrors the term Grexit — a term which was coined in February 2012 to refer to the possible exit of Greece from the EU.

2 BREXIT refers to Britain holding a referendum to decide whether it wants to continue membership under the EU or not.

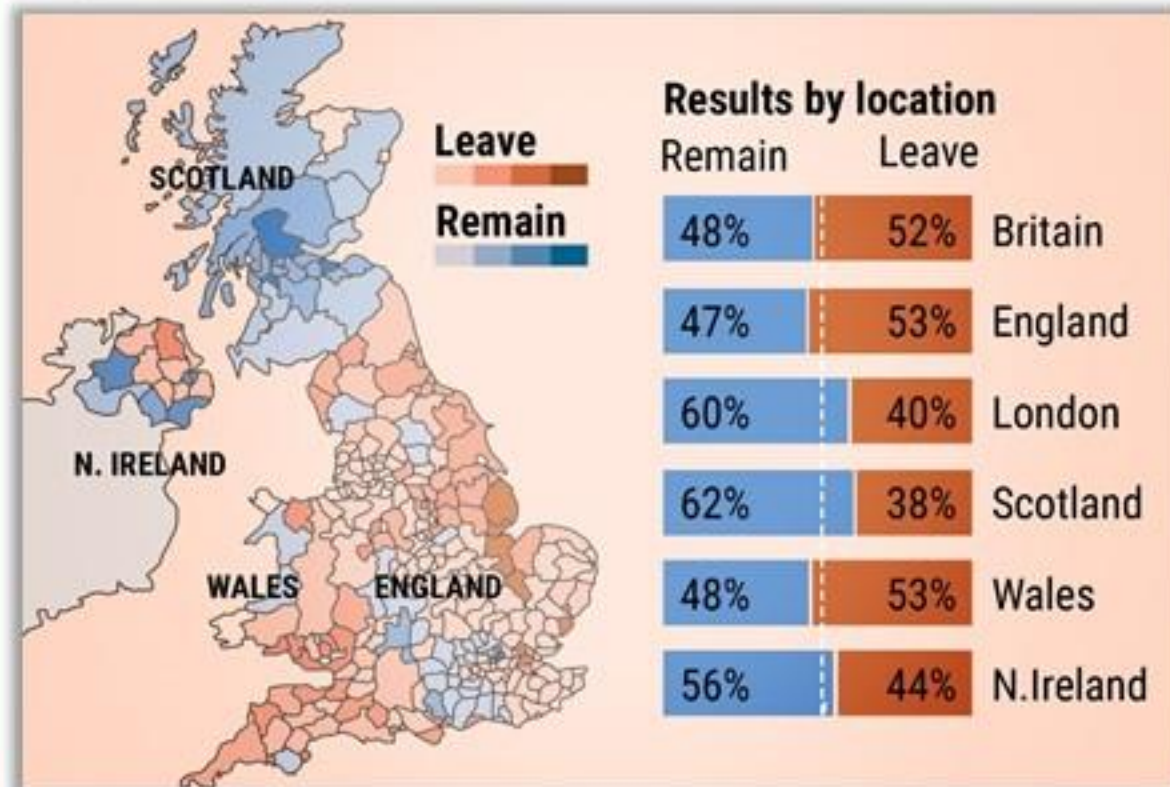
3 The referendum was held on 23rd June 2016 and 52% voted for BREXIT whereas 48% voted for remaining within the EU.



WHY BREXIT?

- 1 The surge of conservative nationalist politics in Europe has undermined the idea and institution of European Union. Britain has had troubled relations with the European Union.
- 2 Britain was a never part of the Eurozone and continued to use its currency Pound Sterling.
- 3 This gave rise to the idea of Brexit.
- 4 Britain felt that it was losing out being a part of the European Union. It felt it had to pay millions for European budget. The bureaucratic attitude of European Parliament was hurting British exporters.

- 5 Moreover, the welfare schemes of the British government were getting affected.



REACTIONS TO BREXIT

1 Brexit has deeply affected the entire EU bloc and raised questions over EU's relevance in the 21st Century.

2 A debate over Nationalism versus Regionalism arose and has brought the entire continent to a standstill.

3 Despite presenting a deal for Brexit thrice before the EU and British Parliament, the former British PM failed to reach a deal.

4 She was unable to make both the sides compromise and agree to a deal.

5 This is delaying the process of exiting the EU. Aggravating this is the demand of the Scottish people and Parliamentarians to stay within the EU.



REACTIONS TO BREXIT

6 Amidst this entire chaos, the people are the affected deeply with the situation. This was illustrated on 29 March when the pro-Brexit demonstrators denounced the delay as a 'betrayal of England'.

7 Finally, Britain and EU have agreed to an extension of the deadline for the exit till October end with the hope to resolve the issue at the earliest.

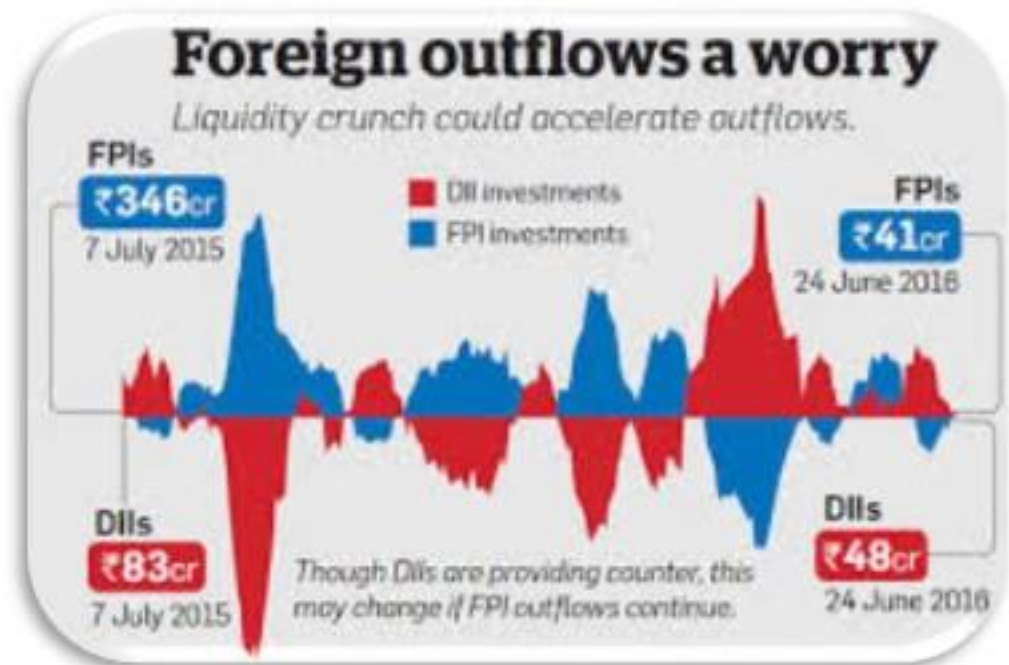
8 In 2019, the exiting process was undertaken with the Withdrawal Agreement to have a smoother transition between UK and other EU members and its citizens and businesses. It was negotiated between EU and UK.

9 After the withdrawal the international agreements signed by the EU are no longer binding on UK.



NEGATIVE EFFECTS OF BREXIT ON INDIA

- 1 India will have to adjust to the changing global order.
- 2 Since Brexit, Dollar has appreciated against the Rupee.
- 3 It will lead to volatility in pound, thus affecting the global stock market. With the depreciation of pounds, Indian exports will suffer
- 4 The prices of gold and electronic items have increased.
- 5 Brexit is negatively impacting the Indian IT industry.



NEGATIVE EFFECTS OF BREXIT ON INDIA

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Indian import companies operating in the UK may also report a loss.

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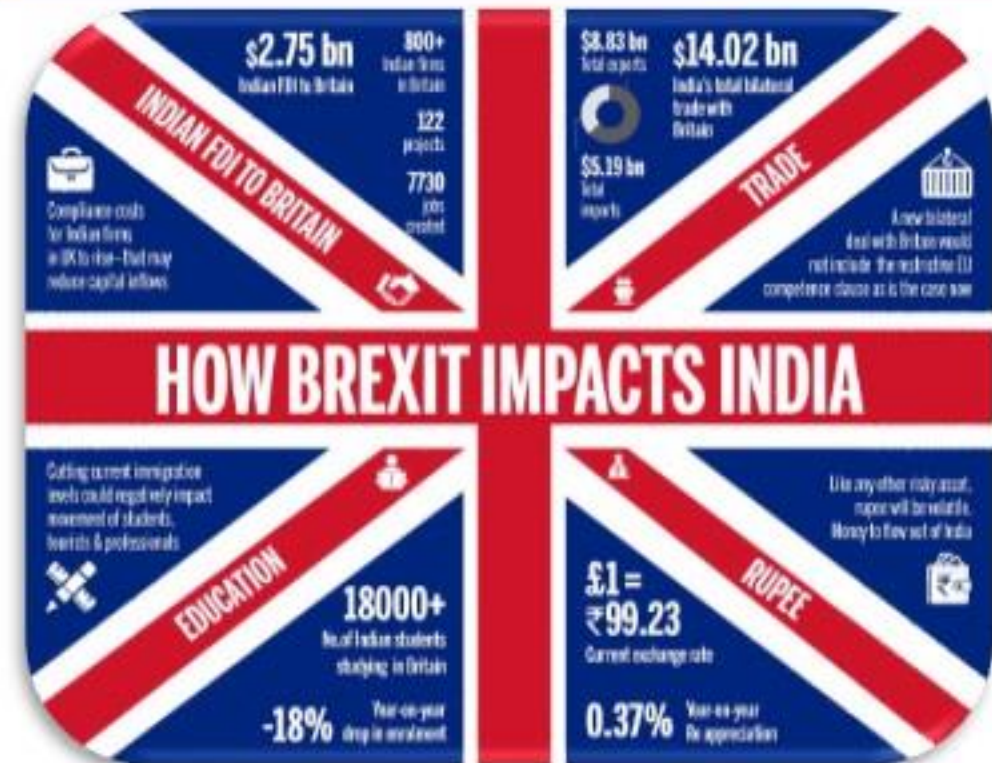
According to IMF, Brexit may reduce British economy by 5%. Indian Finance Ministry, however, said India has enough foreign reserves to handle the impact of Brexit. RBI and SEBI have put in place measures to check excess volatility.



POSITIVE EFFECTS OF BREXIT ON INDIA

- 1 On the bright side, India may be able to buy high tech assets because of depreciating pound.
- 2 Tourism to Britain can increase. Brexit may boost ties for India and Britain.
- 3 Britain holds an important place for India. United Kingdom is the third biggest source of FDI in India. India invests more in UK than in any other part of Europe; in sectors like healthcare, agro-tech, food and drinks.

- 4 With India having a large section of English-speaking population, UK work visas are dominated by Indians.



POSITIVE EFFECTS OF BREXIT ON INDIA

- 5 Indians employ more than 1.1 lakh people in the UK.
- 6 In 2015, Prime Minister Modi regarded UK as India's entry point into Europe
- 7 Post 2017, Indian students studying in UK increased by 33%. Moreover, India enjoys trade surplus with UK.
- 8 India is discussing an ambitious trade pact with UK including agreement on services and financial markets.



BREXIT AND BENEFITS FOR INDIAN IMMIGRANTS



1. With the transition from a Tier-4 student visa to a Tier-2 work visa initially impossible, post the Brexit the chances are expected to improve.
2. Unlike before, the Immigration Policy post Brexit shall be focussed on need based skill force rather than the country of Origin
3. Increased proposal to stay back in the country for 6 months instead of the previous period of 4 months
4. The removal of cap on the number of visas for skilled workers is seen as a positive factor for Indian students
5. Continued lobbying by Leading UK universities for a two year extension of visa after studies.



POSITIVE EFFECTS OF BREXIT ON INDIA

9 More Indian students can afford to study in Britain (for higher education) as the fees may seem cheaper.

10 Britain will need a steady inflow of talented labour, and India fits the bill perfectly due to its English-speaking population.

11 Brexit would weaken global growth and lead to a meaningful decline in commodity prices. This is expected to enhance both the appeal of India.

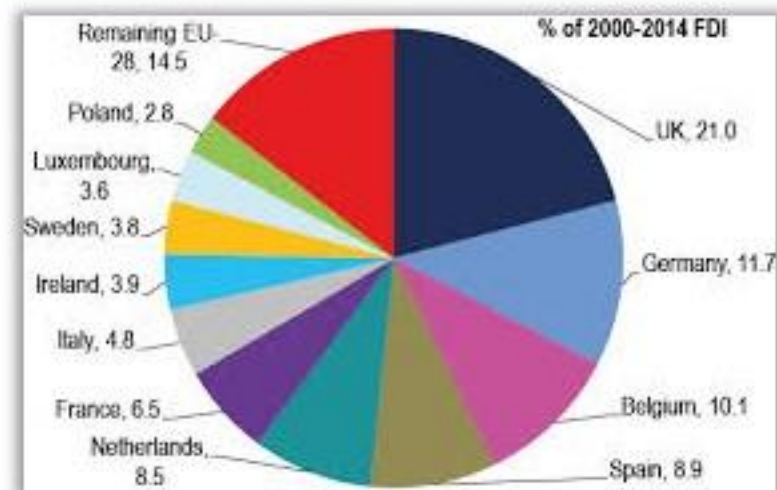
12 Lower commodity prices will help the macro fundamentals: be it fiscal deficit, current account deficit or inflation, which will give the government more levers to pump up the investment cycle.



EFFECT ON THE WORLD

- 1 Remittance from the UK to countries outside in terms of Pound will be better
- 2 Export dominated countries may be affected, whether exporting to the UK or not. If the UK is the major trading partner, the effect will be more.
- 3 The United States will bear the major brunt of a Brexit being the UK's biggest trading partner.
- 4 GDP, exports to the UK is less than 2% . Thus a direct impact on Asian economies from Brexit is unlikely in the long term

- 5 However, businesses in some major Asian economies like India and Japan may be affected.
- 6 Companies which have set up operations in the UK to gain access to EU markets will be affected.



WAY FORWARD

- 1 To translate their common values into common action, EU and India can work in third countries to consolidate democratic processes and build capacities of transitioning regimes through strengthening electoral and parliamentary institutions.
- 2 With Britain's exit, India should revive its relations with EU. France and Germany have increased their engagement with India.
- 3 France signed a \$13 billion investment with India. India serves as a promising market for machine builders from Germany and other EU countries. They have the technology and skills that India needs to develop.
- 4 Establishing a trilateral dialogue with other like-minded partners like Japan or Australia and India can help in improving the EU's visibility in the region.



FRANCE AND INDIA

WAY FORWARD

- 5 Negotiations on BTIA should be concluded in a timely manner to realize the full potential of EU's trade relationship with India.
- 6 EU can collaborate with India to facilitate connectivity and infrastructure projects in third countries, particularly smaller states in South Asia that often fall prey to power politics and fiscal instability resulting from China's loans and political influence as part of its BRI.
- 7 The EU and India can adopt a coordinated approach in their external actions on various shared sustainable development goals, such as global energy decarbonisation, a modern resource-efficient economy with smart urbanization, and a sustainable environment based on clean energy.
- 8 Thus, as highlighted by EU strategy on India, adopted in 2018, India EU should take their relations beyond "trade lens", recognizing their important geopolitical, strategic convergences.



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